TFSA Government Rules

A detailed reference to CRA regulations

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Companion to the Canadian TFSA Multi-Brokerage Tracker

MapleSheet Co.

Important: This document is a plain-language summary of Tax-Free Savings Account (TFSA) rules as administered by the Canada Revenue Agency (CRA) as of October 2026. It is for educational and reference purposes only and is not tax, legal, or financial advice. TFSA rules and dollar limits can change with each federal budget. Always verify current rules on canada.ca or with a licensed advisor before making financial decisions.

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1. WHAT IS A TFSA — CORE CONCEPTS

A Tax-Free Savings Account (TFSA) is a registered account where every dollar of growth — interest, dividends, and capital gains — is completely tax-free, both while it grows and when you withdraw it. Unlike an RRSP, contributions are not tax-deductible, and withdrawals are never taxed as income. You can hold cash, GICs, stocks, ETFs, bonds, and mutual funds inside a TFSA, at any brokerage or bank that offers one.

The TFSA was introduced in 2009. Anyone who was 18 or older and a Canadian resident that year has been accumulating contribution room every year since, whether or not they've ever opened an account.

2. ELIGIBILITY

- You must be a Canadian resident for tax purposes and at least 18 years old (19 in some provinces to open an account, though room still accrues from 18) to contribute.
- You need a Social Insurance Number (SIN) to open a TFSA.
- There is no upper age limit — unlike an RRSP, which must convert to a RRIF by the end of the year you turn 71, a TFSA can be held for life.
- You do not need earned income to accumulate TFSA room, unlike an RRSP.

3. CONTRIBUTION ROOM — A FLAT DOLLAR AMOUNT, NOT INCOME-BASED

This is the biggest structural difference from an RRSP. RRSP room is 18% of your previous year's earned income (up to a cap). TFSA room is a flat dollar figure set by CRA each year, indexed to inflation and rounded to the nearest $500 — the same amount for every eligible Canadian resident, regardless of income.

Your total available room is the sum of every year's limit since 2009 (or since the year you turned 18 and became a resident, if later), minus everything you've contributed, plus any room restored from prior withdrawals.

4. CONTRIBUTION LIMIT — YEAR-BY-YEAR DOLLAR MAXIMUM

Each year's TFSA dollar limit since the program began in 2009:

Years	Annual Limit
2009 – 2012	$5,000 / year
2013 – 2014	$5,500 / year
2015	$10,000
2016 – 2018	$5,500 / year
2019 – 2022	$6,000 / year
2023	$6,500
2024 – 2026	$7,000 / year

Total cumulative room as of 2026, if eligible since 2009 and never contributed: $109,000. This is the single most commonly cited TFSA figure, and the easiest to get wrong by using an older year's cumulative total — always confirm your own personal number in CRA My Account rather than relying on a general figure, since any contribution, withdrawal, or year you weren't yet a resident changes it.

5. UNUSED ROOM CARRIES FORWARD INDEFINITELY

If you don't contribute the maximum in a given year, the unused portion is not lost — it carries forward and adds to your available room every future year, with no expiry date. This is why someone who has never contributed since 2009 has the full cumulative amount available the moment they open their first TFSA.

6. NO GRACE PERIOD — THE DECEMBER 31 DEADLINE

An RRSP gives you the first 60 days of the following year to make a contribution that still counts against the prior tax year. A TFSA has **no such grace period**. A contribution counts for the calendar year it's actually made in — full stop. If you want a withdrawal's room to count as restored for next year, or a contribution to count for this year, it has to happen by **December 31**.

7. OVER-CONTRIBUTION PENALTY

Contribute more than your available room and CRA charges a penalty tax of **1% per month** on the highest excess amount in your account that month, for every month the excess remains. Unlike an RRSP, there is no $2,000 lifetime buffer for a TFSA — any excess is penalized from dollar one.

The most common way people accidentally over-contribute: withdrawing money and re-contributing it in the **same calendar year**, assuming the withdrawal freed up room immediately. It doesn't — see Section 9.

8. QUALIFIED AND NON-QUALIFIED INVESTMENTS

A TFSA can hold the same broad range of qualified investments as an RRSP: cash, GICs, mutual funds, publicly traded stocks and ETFs (Canadian and foreign), and bonds. Holding a non-qualified or prohibited investment (for example, shares of a private company you control, or certain investments where you don't deal at arm's length) can trigger penalty taxes and even make the account's income taxable — this is a specialized area and worth a conversation with an advisor if you're considering anything beyond standard publicly traded securities.

9. WITHDRAWALS ARE TAX-FREE — AND ROOM IS RESTORED JANUARY 1

Withdraw any amount from a TFSA at any time, for any reason, completely tax-free — there's no withholding tax and nothing to report as income. This is the opposite of an RRSP withdrawal.

The part that catches people out: the amount you withdraw is added back to your contribution room, but **not until January 1 of the following calendar year** — never the same year you withdrew it. Withdraw $5,000 in June 2026, and that $5,000 of room doesn't exist again until January 1, 2027. Re-depositing it in, say, August 2026 — before the room is actually restored — is an over-contribution subject to the Section 7 penalty, even though it feels like you're just putting your own money back.

10. TRANSFERS BETWEEN TFSAs

Moving a TFSA from one brokerage to another should always be done as a **direct institution-to-institution transfer** (your new brokerage handles the paperwork), never by withdrawing the cash yourself and re-depositing it elsewhere. A direct transfer doesn't touch your contribution room at all. Withdrawing and re-depositing manually is treated as a withdrawal plus a new contribution — exposing you to the same January 1 timing issue from Section 9 if you re-deposit the same year.

11. MULTIPLE TFSAs AT DIFFERENT BROKERAGES

There is no CRA limit on how many TFSAs you can hold, or at how many different brokerages or banks. Your contribution room is one single number shared across every account you hold — CRA tracks contributions and withdrawals at the account level and sums them for your personal total. This is exactly the situation this tracker is built for: enter transactions from all of your brokerages into one Transaction Log, and the Institution Dashboard and Main Dashboard add everything up against your one real CRA number.

12. FOREIGN DIVIDENDS AND THE US WITHHOLDING TAX

This is the TFSA's biggest tax disadvantage compared to an RRSP. The Canada–US tax treaty exempts RRSPs and RRIFs from the IRS's 15% withholding tax on dividends paid by US-listed companies — but that exemption does **not** extend to TFSAs. Every US dividend paid into a TFSA has 15% withheld at source by the IRS before it ever reaches your account, and because a TFSA isn't a vehicle the CRA recognizes for foreign tax credit purposes either, that 15% is simply gone — not recoverable on your Canadian tax return the way it might be in a taxable account.

This doesn't mean avoid US dividend stocks in a TFSA — it means factor the 15% haircut into your expected yield. The Dividend Tracker tab logs exactly what you actually received after withholding, so your real numbers already reflect this.

13. GIFTING CONTRIBUTIONS TO A SPOUSE

Unlike an RRSP, a TFSA has no spousal-plan structure and no attribution rule to worry about. You can give your spouse or common-law partner cash to contribute to their own TFSA, and any growth on that money stays taxed in their hands (or rather, stays completely tax-free, since it's a TFSA) — the RRSP-style attribution rules that would tax that income back to you simply don't apply here. The only thing that matters is that your spouse has their own available contribution room for the gift to be deposited without triggering their own over-contribution.

14. NON-RESIDENTS AND TFSAs

You can keep an existing TFSA open after becoming a non-resident of Canada, and it stays tax-free under Canadian law (though your new country of residence may tax it differently — check locally). However, you stop accumulating new TFSA room for every calendar year you're a non-resident, and any contribution you make while non-resident is subject to a penalty tax of approximately **1% per month** for as long as it remains in the account, separate from the ordinary over-contribution penalty. Withdrawals remain tax-free and are generally a sensible move before or during a period of non-residency.

15. DEATH OF THE TFSA HOLDER

Only a spouse or common-law partner can be named **successor holder** on a TFSA. If one is named, the account simply continues in their name on death — it stays tax-free, and taking it over does not use up any of their own personal contribution room.

Any other named beneficiary (or the estate, if none is named) instead receives the account's value as of the date of death tax-free, but any growth that happens **after** the date of death and before the funds are paid out becomes taxable to them. A beneficiary who is also the deceased's spouse can preserve the tax-free status of that post-death growth with an “exempt contribution” designation, filed with CRA within a set deadline — this is a situation worth involving an advisor in rather than handling alone.

16. MARRIAGE BREAKDOWN

TFSA assets transferred directly between former spouses or common-law partners under a written separation agreement or court order, in settlement of rights from the relationship breakdown, can move without affecting either person's contribution room — similar in spirit to the RRSP rule, though the TFSA mechanics differ since there's no tax-deferral to preserve. Always confirm the transfer is structured correctly with your brokerage and, ideally, a tax advisor before it happens.

17. COMMON MISTAKES AND HOW TO AVOID THEM

- **Re-contributing a withdrawal the same year.** The #1 cause of TFSA over-contribution penalties. Room from a withdrawal isn't available again until January 1 of the next year.
- **Using a stale cumulative-room figure.** “$102,000” or “$95,000” might have been correct for an earlier year — always check your actual number in CRA My Account, not a figure remembered from a prior year or a generic online estimate.
- **Withdrawing cash and re-depositing it elsewhere instead of transferring directly.** Always request a direct institution-to-institution transfer when moving brokerages.
- **Assuming a TFSA gets the same US-dividend tax treatment as an RRSP.** It doesn't — the 15% US withholding tax applies and is not recoverable (Section 12).
- **Forgetting the December 31 deadline.** There is no 60-day grace period into the new year the way there is for an RRSP.
- **Holding non-qualified or prohibited investments without checking first.** Get advice before putting anything unusual — private company shares, for example — inside a TFSA.

18. SOURCES AND FURTHER READING

This document summarizes information published by the Canada Revenue Agency and corroborated against current third-party financial-institution guides as of October 2026. For the authoritative, current version of any rule described here, see:

- canada.ca — Tax-Free Savings Account (TFSA) (search “TFSA” on canada.ca)
- canada.ca — TFSA contribution room and over-contributions
- canada.ca — TFSAs for non-residents of Canada
- Your own CRA My Account, for your personal TFSA contribution room

Need help? Message the shop on Etsy — reply within 1–2 business days. Visit us at maplesheetco.etsy.com.

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